

US Sales Tax Cheat-Sheet

The essentials for a US dropshipping store (verify current thresholds).

What is nexus?

- Nexus = a connection to a state that requires you to collect its sales tax.
- Economic nexus: triggered by sales volume - commonly \$100,000 in sales OR 200 transactions per state per year.
- Physical nexus: inventory, employees, or an office in a state also creates nexus.

The workflow

- Register for a sales tax permit in a state BEFORE you collect tax there.
- Turn on Shopify Tax (or use TaxJar / Avalara) to auto-calculate the correct rate at checkout.
- File returns on time - most states are monthly or quarterly.
- Keep records of tax collected and remitted.

Marketplace facilitator laws

- Amazon, Walmart, eBay, Etsy collect & remit sales tax FOR you on their platforms.
- This does NOT cover your own Shopify store - you are responsible for direct sales.

Common thresholds (verify)

- Most states: \$100,000 or 200 transactions.
- California & Texas: \$500,000 economic threshold.
- 5 states have NO state sales tax: Alaska, Delaware, Montana, New Hampshire, Oregon.

Not legal/tax advice. Verify current rates and rules for your situation.